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# 2027 K-Beauty Brand Strategy Report

Which category, which market, in what order? We combined market size, category structure, K-beauty's position and first-half 2026 growth signals across the US, Japan and Korea to map entry strategy for new beauty brands in 2027.

For: new beauty brands and companies planning a brand launch

Data: 2023–2025 annual results + H1 2026

KEY TAKEAWAYS

# Five key takeaways

1. **K-beauty is the No.1 imported cosmetics origin in both the US and Japan — yet only about 2–4% of each total market.** Imports are roughly a tenth of each market, so headroom remains large.

2. **Skincare is both the most proven and the most crowded category.** About half of Japan's skincare and base-makeup imports already come from Korea. Without a distinct efficacy story, entry becomes an ad-spend contest among K-brands.

3. **Haircare is being "skincare-ified."** In H1 2026, US prestige hair grew 11% and hair serums about 60%. In Japan, Korean hair imports grew fastest of any category (+27.4%), yet K-brands' share is still small.

4. **Color cosmetics show a cyclical downturn.** Japan's imports of Korean color cosmetics fell 18.9% in H1 2026, lip products 22.5%.

5. **Korea's health & beauty stores have become a global test market.** Foreign shoppers made up 33% of Olive Young sales in Jan–Aug 2026, so a domestic launch now doubles as an overseas test.

01

## Market size and growth

The US is large and growing, Japan is mature, and Korea rebounded in 2026 after a decline in 2025.

### United States

**$108.7B**

**2025 · +5.4% YoY**

2023 $98.9B → 2024 $103.1B
H1 2026 $56.3B · +7%

### Japan

**¥3.93T**

**2025 · +0.7% YoY**

2024 ¥3.90T → 2025 ¥3.93T
H1 2026 cosmetics imports +8.7%

### South Korea

**₩33.3T**

**2025 · −2.9% YoY**

2023 ₩35.1T → 2024 ₩34.3T
H1 2026 retail sales +8.0%

US: Circana (mass + prestige). Japan: Euromonitor (mass + premium). Korea: Statistics Korea cosmetics retail sales. Scopes differ by country, so figures are not directly comparable.

02

## K-beauty's position: No.1 among imports, still small overall

Korea's cosmetics exports hit a record $11.4B in 2025 (+11.8%) and reached $7.0B in H1 2026 (+27%). The US is now the largest destination (20.7% of H1 exports).

| Market | Korea's share of imports | Imports as share of market* | Korea's share of total market* |
|---|---|---|---|
| US | **24.8% · No.1** | ~13% | ~2% |
| Japan | **33.4% · No.1** | ~12% | ~4% |
| Korea | — | ~5% | — |

US runners-up: Canada 14.8%, France 13.7% (2025, US HS 3304 imports). Japan runner-up: France 22.5% (H1 2026). * Simple estimate: import value (customs basis) divided by retail market size; the share at consumer prices is higher.

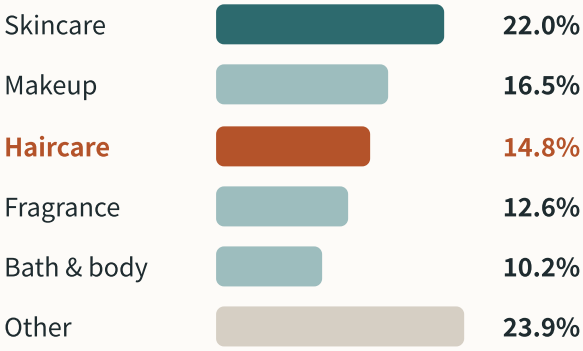
**So what:** whether K-beauty works overseas is already proven. The 2027 question is which categories still have room.

03

# United States: hair, sun and body lead growth

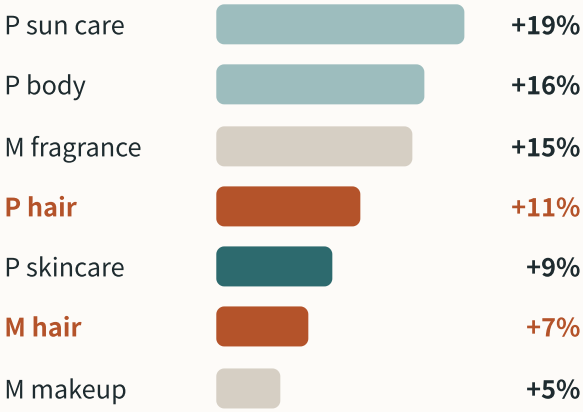
Skincare is the largest category, but sun care, body and hair grew faster in H1 2026. Within hair, treatment formats such as serums, masks and scalp care are driving growth.

## Category mix (2025)




Euromonitor, beauty & personal care

## H1 2026 growth (YoY)




P = prestige, M = mass · Circana, Jan–Jun 2026 · Sun care and body are sub-segments of prestige skincare

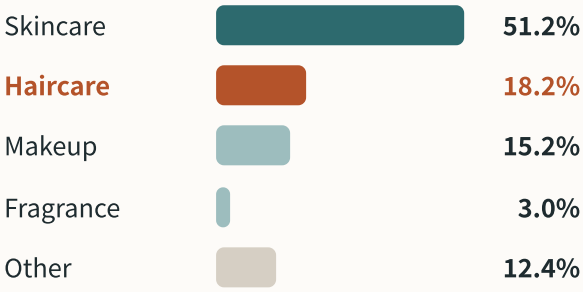
**A K-brand gap:** hair is about 15% of the US market, yet shampoo is only 1.4% of Korea's cosmetics exports to the US (skincare products: 66.2%). In H1 2026, Korean skincare exports to the US rose 48.6%, body cleansers 36.4%, while color cosmetics slipped 0.7%.

04

# Japan: skincare is saturated, the hair door is opening

Japan is a mature market where skincare is over half of spend. Korean products already make up half of skincare/base imports, and color cosmetics have turned negative. Hair is a large category with low Korean share — and the fastest Korean growth.

## Category mix (2025)




Euromonitor · bath & body included in Other

## Korea in Japan's import market (H1 2026)

| Category | Korea share | YoY |
|---|---|---|
| Skin & base | 49.4% | +24.6% |
| **Hair** | 10.6% | **+27.4%** |
| Makeup | 34.4% | −18.9% |
| · Lip | 46.3% | −22.5% |
| Total | **33.4%** | +13.3% |

Cosmetic Importers Association of Japan · share of each category's import value (Korea ÷ category total) · Thailand leads hair imports at 47%

**So what:** enter Japan with skincare and your main rivals are established Korean brands, not just local giants. Hair is about 18% of the market, yet only 3.8% of Korean cosmetics imported into Japan.

05

## Category verdict: proven vs. high-potential

Combining market size, local sales growth and Korean trade performance, each category falls into a distinct position.

| Category | US signal (H1 2026) | Japan signal (H1 2026) | Verdict |
|---|---|---|---|
| **Skincare** | Prestige +9% · K exports +49% | K share 49% · +24.6% | Proven · crowded |
| **Hair treatment** | Prestige +11% · serums +60% | K share 10.6% · +27.4% | **Highest potential** |
| **Sun & body** | Sun +19% · body +16% | K body-cleanser exports +55% | Growing niche |
| **Makeup** | Mass +5% · K exports −0.7% | K color −18.9% · lip −22.5% | Turning down |
| **Fragrance** | Mass +15% · European-led | France 64% of imports | Hard for K-brands |

In the US column, the first figure is local sales growth (Circana) and the second is Korean export growth (MFDS). Japan figures are from Japanese import statistics.

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## Korea: flat domestic demand, growth from online and inbound tourists

Retail cosmetics sales fell in 2025 while online sales grew, and H1 2026 rebounded on the back of inbound tourist spending.

| Metric | 2023 | 2024 | 2025 | 2025 YoY |
|---|---|---|---|---|
| Cosmetics retail sales | ₩35.06T | ₩34.32T | ₩33.34T | −2.9% |
| Online sales | ₩11.98T | ₩12.82T | ₩13.82T | +7.7% |

**Retail sales (H1 2026)**

**+8.0%**

vs. −4.3% a year earlier

**Inbound visitors (H1 2026)**

**10.71M**

+21.3% YoY

**Olive Young: foreign share of sales**

**33.0%**

Jan–Aug · up from 26.6%

## Category size and growth

| Category | 2025 size | 2025 growth | H1 2026** | Signal |
|---|---|---|---|---|
| **Skincare** | ₩7.65T | +1% | +1.9% | Large, slow; top 2 makers ~41% |
| **Color** | ₩3.46T | +4% | +6.3% | Value up, volume flat |
| **Haircare** | ₩1.75T | +4% | +3.4% | Leader share 26%→23%; specialist treatments rising |
| **Fragrance** | ₩1.33T | +7% | +43.2% | Surging; costly experiential retail |
| **Bath & body** | ₩0.93T | +4% | +10.2% | Small, accelerating |

2025: Euromonitor category retail sales (scope differs from the national total). ** H1 2026: Worldpanel household purchase panel (resident households only) — a different metric from retail sales.

**So what:** a product on a Korean H&B shelf is instantly tested by shoppers from Japan, the US and Southeast Asia. A domestic launch is now a low-cost overseas test market.

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# Strategy implications for new brands in 2027

Translated into launch decisions, the data points to five principles.

### ① Choose the gap, not the biggest market

The largest categories are already packed with K-brands. New brands do better where the category is large, K-share is low and growth is under way — hair treatment and scalp care, sun care, body.

### ② Build haircare the skincare way

With US hair serums up about 60%, consumers are moving from washing hair to treating it. Bringing K-skincare's strengths — ingredients, efficacy, multi-step routines — to hair is the differentiator.

### ③ Skincare only with a distinct efficacy claim

Generic serums and creams turn into an ad-spend war among K-brands. If you choose skincare, start from a growing sub-segment such as sun care or a provable efficacy claim.

### ④ Manage cycle risk in color cosmetics

K-color and lip have turned to double-digit declines in Japan. If you start in color, favor small batches and fast turnover over volume production.

### ⑤ Let secured channels set the market order

If overseas buyers or platforms are already committed, going abroad first is fastest. If not, build reviews, repeat purchases and tourist-sales data in Korean online and H&B channels first, then use that data to win overseas buyers — the faster way to learn per won spent.

## Comparing entry paths

| Criterion | Go overseas first | Validate in Korea, then expand |
|---|---|---|
| **Upside** | Direct access to the largest demand | Fast review and repeat signals; tourist response at the same time |
| **Upfront cost** | Local logistics, ads, regulation (e.g. US MoCRA), inventory | Domestic listing fees, ads, efficacy testing |
| **Best when** | Overseas buyer or platform commitment in hand | No overseas channel yet; product needs proof first |
| **Example path** | Enter first market → adjacent markets | Korea → Japan (Qoo10 → drugstores) → US (Amazon, TikTok Shop) |

## Gates before scaling

**Repeat rate**
8–12 week cohorts

**Contribution margin**
Positive at full price after logistics, fees and ads

**Channel results**
Units, basket size and returns by channel

**Tourist share**
Buyer nationality points to the next market

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# Data notes and sources

Scopes differ by country and source, so figures are compared directionally within the same basis rather than added together. K-beauty shares refer to local import markets, not total retail markets. 2023–2025 annual results are the primary basis; H1 2026 figures confirm direction.

- US market: Circana, FY2025 and H1 2026 (Aug 2026 release)
- US category mix: Euromonitor beauty & personal care
- US imports: US Census Bureau HS 3303–3305 (2025, secondary source)
- Japan market: Euromonitor 2025 (mass + premium)
- Japan imports: Cosmetic Importers Association of Japan, H1 2026
- Korea trade: Ministry of Food and Drug Safety, FY2025 and H1 2026
- Korea market: Statistics Korea retail and online shopping surveys
- Korea categories: Euromonitor (May 2026)
- Korea H1 2026: Worldpanel household panel

- Tourist spending: Korea Tourism Organization, CJ Olive Young (Aug 2026)

This report is a market analysis based on public data and does not guarantee sales or investment outcomes for any brand.

SYNC2C

## Which category — and which market — should your brand start with?

SYNC2C combines 23 years of global and Korean brand experience with hands-on brand founding to take technology companies' B2C brand launches from market analysis to execution.

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